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STRATEGIC COMPLIANCE GUIDE

The Tranche 2 Playbook for Conveyancing Firms

A practical blueprint to navigate Australia's new AML/CTF obligations without holding up property settlements or frustrating clients.

Executive Summary

The regulatory framework for Australian property transactions is permanently changing. Commencing **1 July 2026**, the Tranche 2 reforms will legally compel conveyancers and settlement agents to adhere to the Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) Act.

Conveyancers play a pivotal role in the Australian economy as the gatekeepers of high-value asset transfers. Because your firm facilitates the legal transfer of real estate and manages significant funds via trust accounts, it presents a highly attractive target for criminals looking to cleanse illicit wealth through the property market.

The Real Estate Vulnerability

Real estate is a globally recognized vehicle for money laundering. Criminals use complex corporate structures, third-party buyers, and cash-heavy settlements to buy property and integrate illicit funds into the legitimate economy. Tranche 2 ensures conveyancers actively identify the true buyers and report suspicious transactions.

The Impact on Your Practice

Preparing for July 2026 means completely overhauling your client onboarding and settlement workflows. Failing to meet these strict obligations carries severe business risks:

Civil Penalties

AUSTRAC aggressively pursues non-compliance, with the power to issue multi-million dollar civil penalties for systemic failures in risk assessment, due diligence, or reporting.

Reputational Ruin

Enforcement actions are public. An AML breach instantly compromises a firm's integrity, risking the loss of trusted referral networks like real estate agents and mortgage brokers.

SCOPE OF REGULATION

Are Your Services Captured?

You are only regulated—and require an AML program—if your firm provides specific **"Designated Services"** under the AML/CTF Act.

The Designated Services for Conveyancers

1. Real Estate Transactions

Assisting a client in the planning or execution of a transaction to sell, buy, or transfer real estate. This is the core of most conveyancing work.

2. Transferring Legal Entities

Assisting in the planning or execution of a transaction to sell, buy, or transfer a body corporate or legal arrangement (e.g., when property is held inside a specific corporate structure).

3. Managing Client Assets

Receiving, holding, controlling, or managing a client's property, funds, or trust accounts during the settlement process.

Overlapping Responsibilities

Often, real estate agents and conveyancers will both act for the same client (e.g., a seller). While AUSTRAC allows for reliance on third-party CDD under specific agreements, your conveyancing firm remains strictly liable for ensuring the identity of the client is accurately verified before settlement occurs.

THE FRAMEWORK

The 5 Pillars of Your AML Program

AUSTRAC mandates that your conveyancing firm develop and maintain a documented, risk-based AML/CTF Program tailored to property transactions.

1. ML/TF Risk Assessment

You must formally assess the Money Laundering and Terrorism Financing risks your practice faces. This is based on property values, client profiles (e.g., foreign buyers, complex trusts), and geographical jurisdictions.

2. Customer Due Diligence (CDD)

You must verify buyers and sellers using primary documents before settlement. If a property is being purchased by a company or trust, you must unravel the structure to identify the human Ultimate Beneficial Owners (UBOs).

3. Mandatory Reporting

Conveyancers must submit Suspicious Matter Reports (SMRs) to AUSTRAC if they suspect a transaction involves illicit funds. You must also report cash transactions of $10,000 or more (TTRs).

4. Personnel & Training

Your practice must appoint a dedicated AML/CTF Compliance Officer (AMLCO). All client-facing staff and settlement clerks must undergo specific AML risk awareness training to spot real estate red flags.

5. Strict Record Keeping

Every ID collected (VOI), risk assessment conducted, and compliance decision made must be securely stored and accessible for **exactly 7 years**. Trying to manage this via paper files or basic network drives will inevitably lead to compliance breaches.

The Ultimate Beneficial Owner (UBO) Challenge

High-value properties are frequently purchased through Discretionary Trusts, Self-Managed Super Funds (SMSFs), and Proprietary Companies to minimize tax and maximize privacy. For conveyancers, verifying the entity name on the contract is no longer sufficient.

You Must Drill Down to the Human Level

If your client is a non-individual entity, you must identify the natural persons who ultimately own or control it. A UBO is defined as an individual who:

- Directly or indirectly owns 25% or more of the entity purchasing/selling the property.
- Exercises "effective control" over the entity (e.g., a CEO or Managing Director).
- For Trusts: The Appointor, Trustee, and named Beneficiaries must be identified before settlement.

Enhanced CDD (EDD)

If a transaction involves no mortgage (cash buyers), foreign entities, or Politically Exposed Persons (PEPs), you must trigger Enhanced CDD. This requires gathering data on the client's **Source of Wealth** and **Source of Funds**, and obtaining Senior Manager approval before exchange or settlement.

The "Tipping Off" Offence

If you submit an SMR regarding a suspicious property transaction, it is a **criminal offence** to inform the buyer or seller. This creates complex scenarios if you decide to cease acting for the client prior to settlement, requiring careful management.

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Protect Your Practice. Ensure Smooth Settlements.

Building an AML framework from scratch diverts hundreds of hours away from fee-earning conveyancing work. Chasing clients for IDs manually delays settlements and frustrates agents. Lead AML is the complete, tailored solution for the conveyancing sector.

Custom AML Programs

We draft your firm's comprehensive ML/TF Risk Assessment and Policy Manuals, aligned perfectly with AUSTRAC's specific guidelines for conveyancers.

Core Feature

Compliance Software

Our cloud-based tool automates VOI, PEP/Sanctions screening, UBO unraveling, and securely stores all data for the mandatory 7-year retention period—speeding up your onboarding.

Training & Support

We provide mandatory AML/CTF training modules tailored for conveyancers and settlement clerks to ensure your whole team can spot red flags in property contracts.

Ready to prepare your firm for 2026?

Book a free strategy session with our compliance specialists. We'll show you exactly how to integrate our software and frameworks into your existing conveyancing workflows.

Contact Us For Your Custom Plan

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